Neste

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COMPANY PROFILE

Neste produces renewable diesel, sustainable aviation fuel and renewable feedstocks. It also operates the Porvoo conventional refinery and markets fuels and related services through a Nordic and Baltic distribution network. Its economics depend on policy-supported low-carbon fuel margins, feedstock procurement, refinery availability, project execution and cash generation from conventional fuels.

RECOMMENDATION	CURRENT PRICE	TARGET PRICE
BUY	27.97 EUR	15,353.00 EUR
12-month horizon	as of report date	12-month fundamental

IMPLIED UPSIDE	MARKET CAP	ENTERPRISE VALUE
+54,791.0%	EUR 1 m	EUR 842 m
vs. current price	shares × price	mcap + EV adjustments

P/E 2025E	EV/EBITDA 2025E	FCF YIELD 2025E	DIVIDEND YIELD 2025E	NET DEBT / EBITDA 2025E
—	0.4×	—	—	0.4×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

A one-page summary of the recommendation and the evidence behind it; the following pages provide the detail.

RECOMMENDATION	TARGET PRICE	CURRENT PRICE	IMPLIED UPSIDE
BUY	**15,353.00 EUR**	**27.97 EUR**	**+54,791.0%**
12-month horizon	12-month fundamental	as of report date	vs. current price

MARKET CAP	ENTERPRISE VALUE	P/E · EV/EBITDA 2025E	FCF · DIV YIELD 2025E
EUR 1 m	**EUR 842 m**	**— · 0.4×**	**— · —**
shares × price	mcap + EV adjustments	history + peers, see p. 18–19	

01 **The market prices less than the refinery**

The locked EUR 842 million group EV is far below the report's EUR 4.5 billion value for Oil Products, despite 2025 reported EBIT of EUR 325 million and a Q2 2026 refining margin of USD 25.8 per barrel.

EUR 4.5bn Oil Products EV

02 **Renewable unit economics have recovered**

Renewable Products comparable sales margin rose from USD 310 per ton in Q1 2025 to USD 856 in Q1 2026 and USD 1223 in Q2 2026. The valuation assumes a much lower normalized contribution than the latest quarter.

USD 1223/t Q2 margin

03 **Capacity value is gated, not ignored**

Rotterdam is valued on probability-weighted operating cases rather than sunk cost. The base case requires EUR 1.3 billion of revenue and EUR 500 million of EBITDA at scale, with a 35% success probability.

EUR 2.65bn option EV

THESIS BREAKER

The investment case fails if renewable utilisation stays below 70%, margin falls below USD 600 per ton and Rotterdam is delayed again.

SHARE PRICE DEVELOPMENT

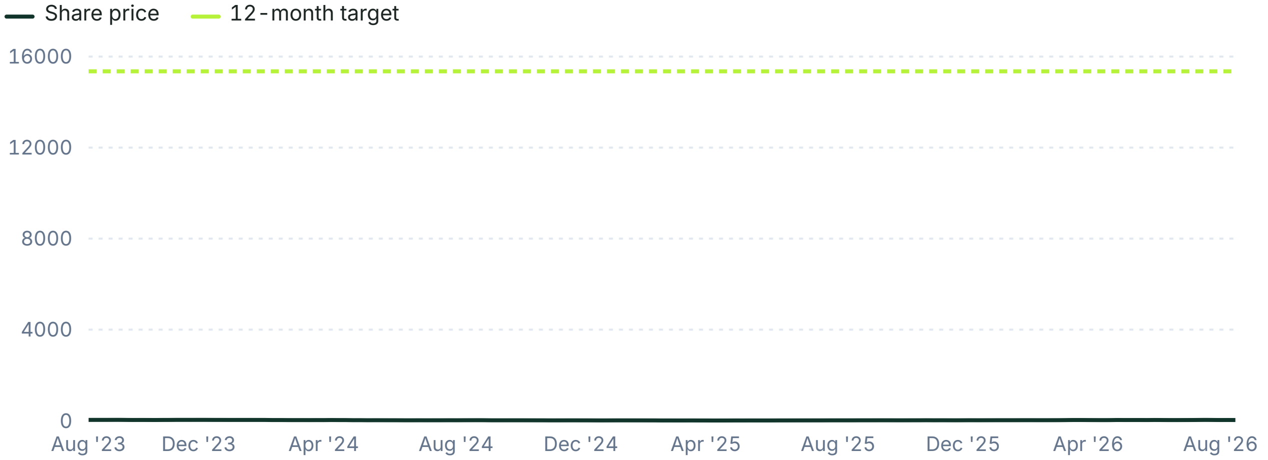
Price trajectory and valuation anchors

03

Weekly closing prices over 36 months with the 12-month target price, alongside key market data.

Share price — last 36 months

EUR per share, with 12-month target line



CURRENT PRICE **27.97 EUR** 19 August 2026	TARGET PRICE **15,353.00 EUR** 12-month	IMPLIED UPSIDE **+54,791.0%** vs. current	52-WEEK HIGH **34.06 EUR** past 12m
52-WEEK LOW **14.31 EUR** past 12m	1-YEAR CHANGE **+113.1%** price only	3-YEAR CHANGE **−1.6%** price only	REPORT DATE **19 August 2026**

READING THE MOVE

The share-price move reflects three forces: the 2024 margin collapse and higher leverage, the EUR 2.5 billion Rotterdam reset, and the sharp 2026 recovery in renewable and refining margins. Q2 2026 delivered record comparable EBITDA, but the Porvoo turnaround delays clear evidence of normalized cash generation. The target reflects division economics and is not calibrated to the anomalous supplied market-cap control.

VALUE BREAKDOWN · PART 1

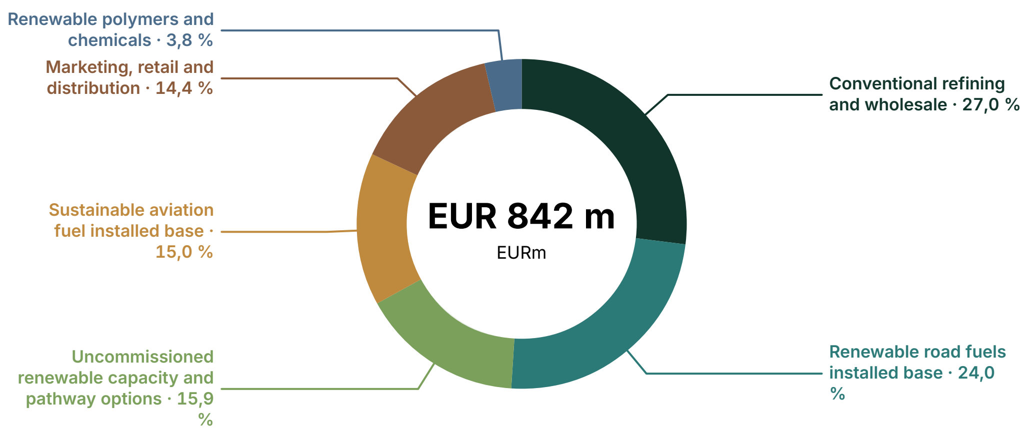
Enterprise-value allocation by business division

04

Where the market value sits across current businesses and long-term strategic options.

Enterprise value by business division

EUR millions · current analytical allocation



VALUE AND EARNINGS BY BUSINESS DIVISION

Analytical enterprise-value allocation against reported economics. “Reported” rows match a verified company-reported segment; “Modelled allocation” rows are model-side splits. Business divisions may differ from company-reported accounting segments.

	EV	EV %	REVENUE	REV %	REPORTED EBIT	REPORTED EBIT % OF TOTAL	BASIS
Conventional refining and wholesale	227	27.0%	6,920	36.4%	325	64.6%	Modelled allocation
Renewable road fuels installed base	202	24.0%	5,000	26.3%	105	20.9%	Modelled allocation
Uncommissioned renewable capacity and pathway options	134	15.9%	0	0.0%	0	0.0%	Modelled allocation
Sustainable aviation fuel installed base	126	15.0%	1,800	9.5%	35	7.0%	Modelled allocation
Marketing, retail and distribution	121	14.4%	4,272	22.5%	82	16.3%	Modelled allocation
Renewable polymers and chemicals	32	3.8%	1,017	5.3%	11	2.2%	Modelled allocation
Corporate and other activities	0	0.0%	7	0.0%	-62	-12.3%	Modelled allocation
Total	842	100.0%	19,016	100.0%	503	98.6%	

VALUE BREAKDOWN · PART 2

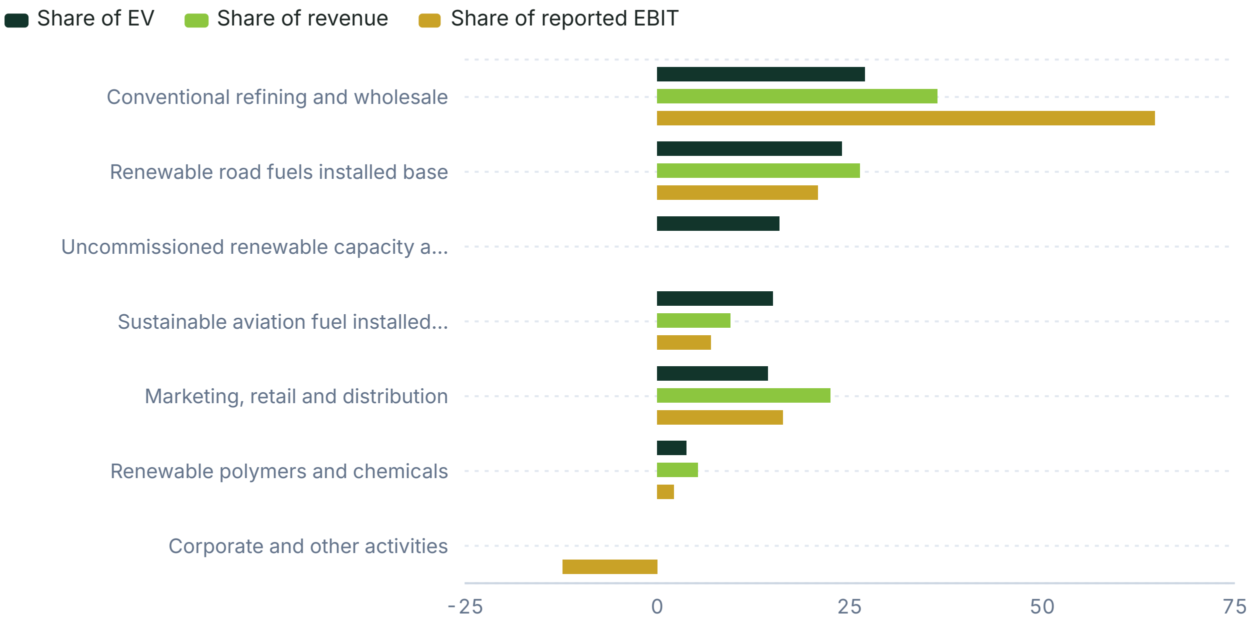
05

Where value sits versus where money is earned

Each business division's share of enterprise value against its share of group revenue and profit. A division holding value it does not yet earn is where the valuation rests on the future; the full figures are in the allocation table on the previous page.

Share of enterprise value vs revenue and profit

Per cent of group total · modelled allocation



INTERPRETATION

Enterprise value comes mainly from conventional refining, installed renewable road fuels, probability-weighted Rotterdam capacity, SAF and marketing. The divisions are economically diversified but operationally linked through feedstocks, logistics and capital. Corporate activities reduce value, while the locked EUR 842 million control EV is below the modeled value of Oil Products alone.

RECOMMENDATION

Why we land on the call we do

06

How the assembled evidence adds up to the call: what the price assumes, what the clues say, and what would change our view. The decision summary and the three headline reasons are on the snapshot page.

BUY. The 12-month target price is EUR 15353.0, implying 54791.0% upside from the current price of EUR 27.97.

The current EUR 842 million EV is below the report's EUR 4.5 billion value for conventional refining alone. It therefore appears to price a severe, lasting impairment of the renewable platform, corporate activities and unfinished investment. The reverse valuation supports that view: EBIT remains negative through 2027, reaches only EUR 618 million in the terminal period and earns a 2.4% terminal margin despite EUR 18.5-21.0 billion of near-term sales.

The evidence against this pessimism is substantial, though cyclical. Neste reported a Q2 2026 Renewable Products comparable sales margin of USD 1223 per ton and record quarterly comparable EBITDA of EUR 1.2 billion. Oil Products' refining margin reached USD 25.8 per barrel. There are also clear risks: renewable utilisation was 75%, below the 80% target; SAF sales were 145000 tons in Q2; Rotterdam rose to EUR 2.5 billion; and Porvoo faces a nine-week turnaround costing more than EUR 400 million.

The strongest case against BUY is that Q2 may reflect a geopolitical and credit-cycle peak rather than sustainable earnings. Feedstock scarcity, delayed RED III transposition and future HEFA caps could compress renewable margins before new capacity reaches efficient utilisation. The target therefore values road fuels and refining below Neste's normalized historical multiples, assigns Rotterdam only probability-weighted value and keeps corporate activities at negative EUR 496 million.

The case would weaken if Renewable Products comparable sales margin fell below USD 600 per ton while utilisation stayed below 70%, or if Rotterdam required another material cost reset or slipped beyond 2027. It would strengthen if Porvoo availability normalizes after the turnaround, renewable utilisation exceeds 80%, Rotterdam starts to specification during 2027 and SAF contracts convert the 1.5 million-ton capability into sustained sold volume.

CORE ANALYSIS · EXECUTIVE MAP

07

How the company creates economic value

The framework underlying the business division deep dives that follow.

Oil Products is the largest source of value. Normalized Porvoo availability and refining margins support EUR 4.5 billion of EV. Renewable road fuels contribute EUR 4 billion, driven by EBITDA per ton after feedstock costs and policy credits. Rotterdam adds EUR 2.6 billion only through probability-weighted future operating cases.

SAF contributes EUR 2.5 billion because enforceable blending mandates support premium demand, although sold volume remains well below capability. Marketing adds EUR 2.4 billion from network cash flow, while renewable polymers contribute EUR 640 million. Corporate and other activities deduct EUR 496 million because FY2025 recurring EBIT cost was EUR 62 million.

ANALYTICAL ANCHOR

The report values seven separate economic claims rather than applying one renewable-fuel multiple. Porvoo margins, renewable EBITDA per ton, SAF sold volume and Rotterdam commissioning each have their own bridge.

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.1 Conventional refining and wholesale

Business division deep dive — Commodity.

THE OPPORTUNITY IS REGIONAL PRODUCT-MARGIN CAPTURE, NOT GLOBAL REFINING REVENUE

Neste's opportunity is to monetize a 10-million-ton-per-year crude refinery and wholesale system in Northern European middle-distillate, gasoline and specialty-product markets. Global oil-refining estimates range from USD 624.9 billion at Grand View Research to USD 2800.91 billion at Precedence Research for 2025. The gap is too wide for a useful market-share calculation and likely reflects different definitions of crude-product value, refining services and downstream revenue. Oil Products generated EUR 6.9 billion of external sales in FY2025 and EUR 325 million of reported EBIT on EUR 9.3 billion of total segment sales.

The segment EBIT margin is 3.5%, calculated as EUR 325 million divided by EUR 9.3 billion of total segment sales. Total sales are the right denominator because segment profit includes internal and external transactions. Sales volume was 11.868 million tons, up from 10.147 million tons in turnaround-affected 2024. External sales per ton were approximately EUR 583, while total segment sales per ton were EUR 785. Both are report-derived and affected by mix and internal transfers. The valuation requires EUR 900 million of FY2027 EBITDA, not a full-year repeat of Q2 peak margins.

PORVOO'S COMPLEXITY CREATES VALUE ACROSS THE BARREL

Porvoo has approximately 10 million tons of crude-processing capacity and 12 million tons of total production capacity, including renewable products. Its estimated Nelson Complexity Index of 12.1 makes it one of Europe's more complex refineries, allowing lower-value fractions to be converted into higher-value products. Complexity helps when light-heavy differentials and middle-distillate cracks are wide, but it also raises maintenance scope, energy use and the number of units that can constrain throughput. Economics therefore depend on both benchmark margin and mechanical availability.

The Q2 2026 total refining margin was USD 25.8 per barrel, versus USD 10.0 a year earlier. Applying USD 25.8 to an illustrative 75 million annual barrels produces nearly USD 1.94 billion of gross margin before fixed costs, energy, maintenance, depreciation and mix. The barrel volume is a report assumption based on ten million tons at 7.5 barrels per ton. At USD 10 per barrel, the same calculation produces USD 750 million. Small margin changes can therefore drive earnings even without revenue growth.

CONVENTIONAL REFINING AND WHOLESALE FACT SHEET

COMMODITY

MODEL ESTIMATE REVENUE	EUR 6,920m
MODEL ESTIMATE REPORTED EBIT	EUR 325m
FY2025 SALES VOLUME	11.868Mt
PORVOO CRUDE CAPACITY	10Mt/y
MODELLED FY2027 EBITDA	EUR 900m
VALUATION MULTIPLE	5.0x FY2027E EBITDA
Q2 REFINING MARGIN	USD 25.8/bbl
PORVOO COMPLEXITY	12.1 NCI estimate
2026 TURNAROUND	Nine weeks; >EUR 400m
TURNAROUND INTERVAL	2.5-3 years

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.1 Conventional refining and wholesale (continued)

Business division deep dive — Commodity.

AVAILABILITY IS THE VARIABLE MANAGEMENT CAN CONTROL

Porvoo completed a EUR 390 million major turnaround in June 2024 and faces another nine-week turnaround from August to October 2026, costing more than EUR 400 million. Neste shortened the major-turnaround interval from five years to 2.5-3 years to reduce scope complexity and improve flexibility. This may lower execution risk per event, but it increases the frequency of outages and capital costs. The 2026 turnaround will reduce throughput while refining margins are strong, making second-half reported earnings a weak guide to underlying economics.

Volume rose by 1.721 million tons, from 10.147 million tons in 2024 to 11.868 million tons in 2025, after the earlier turnaround. At an assumed EUR 60 EBITDA per incremental ton, restored availability could add roughly EUR 103 million. This shows why the post-2026 run rate matters more than the turnaround quarter. Labor disruption is another availability risk: a two-week Finnish strike threatened a Porvoo standstill in March 2024. The report assumes normalized operations after scheduled work, not permanent 2025 throughput without outages.

- Neste Porvoo: 10Mt/y crude capacity, 11.868Mt sales in 2025, USD 25.8/bbl Q2 2026 margin.
- OMV: 89% European refinery utilization in 2025, up from 87% in 2024.
- TotalEnergies: 1526kb/d global throughput in 2025, 5% above 2024.
- Orlen Lietuva: 9.4Mt feedstock processed in 2025 at the Baltic region's only crude refinery.
- Preem: approximately 30% of Nordic refining capacity in 2025.

REGIONAL COMPETITION AND CAPACITY RATIONALIZATION

Orlen Lietuva processed 9.4 million tons in 2025 and is the closest Baltic physical benchmark. Preem reportedly controls about 30% of Nordic refining capacity, while OMV and TotalEnergies show high European utilization and disciplined turnaround execution. Unlike many integrated peers, Neste lacks upstream crude production and is more directly exposed to refining spreads. It does have local logistics, wholesale relationships and a complex asset serving a structurally tight regional product market.

European road-fuel demand will decline over time, but refinery closures or conversions can support surviving assets. The key issue is whether capacity exits faster than demand. Porvoo's complexity and location may preserve regional relevance, while high maintenance costs and future decarbonization investment may reduce returns. Neste cancelled a planned 120 MW green-hydrogen project in 2024 and delayed the broader Porvoo transformation, showing capital discipline. This supports near-term cash flow but leaves long-term carbon-cost exposure unresolved.

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CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.1 Conventional refining and wholesale (continued)

Business division deep dive — Commodity.

THE TRANSFORMATION OPTION IS EXCLUDED FROM BASE VALUE

A long-term roadmap considered approximately EUR 2.5 billion to transform Porvoo into a renewable and circular hub by the mid-2030s. However, the climate-target reset moved the 50% Scope 1 and 2 reduction goal from 2030 to 2035. The report does not value this roadmap because individual units, timing and returns are undisclosed. The completed 150000-ton waste-plastic upgrading unit is instead reflected in polymers and chemicals. Oil Products is valued as a maintained conventional spread business, not as a transition option.

This approach is conservative. Porvoo's terminal value could exceed a runoff valuation if it reuses hydrogen, logistics, storage and conversion units for higher-value circular products. If carbon costs rise, road-fuel demand falls and conversion capital is uneconomic, maintenance may merely preserve declining cash flow. Investors should distinguish strong current refining margins from evidence of durable post-2030 relevance. The bridge values normalized cash generation, not the strategic narrative.

VALUATION IS BELOW CURRENT CONDITIONS AND BROAD PEER QUALITY

The division is valued at 5.0x EUR 900 million of modeled FY2027 EBITDA, producing EUR 4.5 billion. The multiple lies between Repsol's 3.3x and Eni's 5.2x 2027 EV/EBITDA, below Valero's 5.7x and well below Phillips 66's 7.9x. It also discounts Neste's normalized historical 7.59x group multiple because Oil Products is cyclical, capital intensive and lacks upstream diversification. The EBITDA assumption is 9.7% of FY2025 total segment sales and represents a mid-cycle outcome after depreciation and maintenance normalization.

At USD 10 per barrel and weaker utilization, EUR 500 million of EBITDA at 4.0x produces EUR 2 billion. At USD 20 per barrel with strong availability, EUR 1.2 billion at 6.0x produces EUR 7.2 billion. The base is EUR 2.5 billion above the locked group EV. Under the market-control framework, this gives no value to the rest of Neste after valuing Porvoo at a conservative peer multiple. This is the clearest reason the supplied controls support BUY.

WHAT BREAKS THE REFINING VALUE

The main downside combines poor turnaround execution, lower product cracks and structural European overcapacity. A nine-week outage that extends materially, followed by unplanned constraints, would prevent capture of favorable margins and increase repair costs. More frequent 2.5-3-year maintenance could also consume cash if each event approaches EUR 400 million. Accelerating electrification would reduce gasoline and diesel demand, while carbon costs and required low-emission investment rise.

CONVENTIONAL REFINING AND WHOLESALE FACT SHEET

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CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.1 Conventional refining and wholesale (continued)

Business division deep dive — Commodity.

The early-warning indicators are post-turnaround utilization, total refining margin, volume recovery, unplanned outage disclosure and maintenance capital. The value can withstand one weak crack cycle because the multiple is mid-cycle, but not chronic mechanical underperformance. An on-time restart, 2027 volume near 2025 levels and refining margin above USD 15 per barrel would support EBITDA above the report's base. Porvoo is not the growth story, but under the locked valuation controls it is the largest and least recognized division.

CONVENTIONAL REFINING AND WHOLESALE FACT SHEET

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MODEL ESTIMATE REPORTED EBIT
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FY2025 SALES VOLUME
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PORVOO COMPLEXITY
12.1 NCI estimate

2026 TURNAROUND
Nine weeks; >EUR 400m

TURNAROUND INTERVAL
2.5-3 years

CONVENTIONAL REFINING: SCALE, AVAILABILITY AND REGIONAL POSITION

OPERATOR	CAPACITY/THROUGHPUT	AVAILABILITY INDICATOR	POSITION
Neste Porvoo	10Mt/y crude	11.868Mt sales 2025	12.1 NCI estimate
Orlen Lietuva	9.4Mt feedstock 2025	Only Baltic refinery	Regional competitor
Preem	30% Nordic capacity	Conversion underway	Swedish leader
OMV	89% utilization 2025	Up from 87%	European benchmark
TotalEnergies	1526kb/d 2025	Throughput +5%	Global integrated peer

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.2 Renewable road fuels installed base

Business division deep dive — Profit engine.

SIZE OF THE PRIZE AND THE CAPTURE REQUIREMENT

Renewable road fuel competes with conventional diesel, not only with the existing renewable-diesel category. Grand View Research estimated the displaced diesel-fuel market at USD 1106.2 billion in 2025, while Fortune Business Insights estimated USD 255.41 billion. The fourfold gap reflects differing definitions of wholesale fuel, geography and value-chain scope. The narrower renewable-diesel market was USD 25.8 billion according to Global Market Insights and USD 34.72 billion according to DataM Intelligence. The report uses the labelled market to assess current share and the displaced market only qualitatively, because mandates set near-term addressable volume. Modeled FY2025 road-fuel revenue of EUR 5.0 billion represents 64% of Renewable Products external sales and a small share of even the lower displaced-spend estimate.

The valuation does not require heroic market-share expansion. At an assumed EUR 1500 per ton realized revenue, EUR 5.0 billion implies approximately 3.3 million tons of road-oriented sales; the arithmetic is EUR 5 billion divided by EUR 1500 per ton. This is the report's estimate because Neste does not separately disclose revenue for road fuels, SAF and polymers. Against 5.5 million tons of reported total renewable nameplate capacity, the inferred road volume is feasible only if road fuel remains the dominant end use and group utilisation improves from 75%. A sustainable EUR 500 million FY2027 EBITDA contribution requires about EUR 150 per ton on 3.3 million tons, or a 10% EBITDA margin on modelled revenue.

COMPETITIVE POSITION IS STRONG, BUT PUBLISHED SHARES DEPEND ON DEFINITION

Global Market Insights estimated Neste's 2025 share of the broad renewable-diesel market at 13.5%, with the top five at 38.5%. A separate Business Model Canvas Research estimate gave Neste 45-50% of a premium bio-distillate segment. Both cannot use the same denominator. The report uses 13.5% for broad-market positioning and treats 45-50% as a narrow premium-category indicator rather than global volume share. Capacity supports leadership without proving monopoly economics: Diamond Green Diesel operates 1.2 billion gallons annually, Phillips 66's Rodeo complex reached 30000 barrels per day, and Eni targets more than five million tons of biorefining capacity by 2030.

- Neste: 13.5% estimated broad renewable-diesel share in 2025; 5.5Mt/y renewable-products nameplate capacity in early 2026.
- Diamond Green Diesel: 1.2bn gal/y North American capacity in 2026.
- Phillips 66 Rodeo: 30000 b/d at full operation from January 2025.
- Eni Enilive: 315000 tons of bio-throughput in Q3 2025 and more than 5Mt/y targeted by 2030.
- Top five producers: 38.5% estimated global share in 2025.

RENEWABLE ROAD FUELS INSTALLED BASE FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE	EUR 5,000m
MODEL ESTIMATE REPORTED EBIT	EUR 105m
MODELLED FY2025 REVENUE	EUR 5.0bn
MODELLED FY2027 EBITDA	EUR 500m
VALUATION MULTIPLE	8.0x FY2027E EBITDA
COMPARABLE SALES MARGIN	USD 1223/t Q2 2026
RENEWABLE UTILISATION	75% Q2 2026; target 80%
WASTE AND RESIDUE INPUTS	91% Q4 2025
ESTIMATED GLOBAL SHARE	13.5% broad market
NAMEPLATE RENEWABLE CAPACITY	5.5Mt/y early 2026

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.2 Renewable road fuels installed base (continued)

Business division deep dive — Profit engine.

The advantage is not simply plant scale. Neste must source eligible waste and residue feedstocks, certify origin, direct intermediate product across jurisdictions and capture the best combination of fuel and policy-credit value. Its 91% waste-and-residue input share in Q4 2025 supports access to higher-value pathways, but increases exposure to scarce materials. A commodity producer can accept lower-quality feedstock economics. Neste must preserve documentation quality and conversion yield to sustain a premium. The report therefore applies a higher multiple than conventional refining, but below VERBIO's 9.7x 2027 peer multiple and well below peak historical Neste valuations.

UNIT ECONOMICS HAVE RECOVERED FASTER THAN UTILISATION

Renewable Products comparable sales margin rose from USD 310 per ton in Q1 2025 to USD 856 in Q1 2026 and USD 1223 in Q2 2026. The latest figure exceeded the USD 1059-per-ton analyst expectation cited by Reuters, showing that credits, product cracks and commercial optimization can outweigh feedstock inflation in favorable markets. Comparable sales margin is not EBITDA: fixed refinery costs, logistics, downtime, corporate allocations and depreciation remain below it. The report assumes EUR 150 per ton of divisional EBITDA at normalized scale, roughly one-eighth of the Q2 sales-margin indicator before currency effects. This reflects exceptional Q2 product markets and Middle East disruption.

Industry production cost was estimated at more than USD 1000 per ton by Barclays material reproduced by CME. Northwest European used cooking oil reached USD 1200 per ton in June 2026, while German tallow reached USD 1366 per ton in December 2025. These figures are not additive because conversion yields, co-products and production-cost definitions differ. They show that physical diesel parity cannot support the industry without policy value or customer premiums. The key spread is realized fuel price plus RIN, LCFS, CFR, ERE or mandate value, less eligible feedstock, hydrogen, energy and logistics. Neste's Q2 margin shows this spread can be strong, not that it is permanent.

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CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.2 Renewable road fuels installed base (continued)

Business division deep dive — Profit engine.

REGULATION SUPPORTS DEMAND BUT CHANGES FEEDSTOCK ECONOMICS

RED III provides for a 29% renewable-energy share in EU transport or a 14.5% greenhouse-gas reduction by 2030. It retains a 7% crop cap and limits Annex IX Part B used cooking oil and animal fats to 1.7% unless a member state obtains an increase. By March 2026, only Denmark, Italy and the Netherlands had fully transposed RED III, so EU ambition had not become consistent national demand. The Netherlands replaced HBE certificates with emission-reduction units on 1 January 2026, with one ERE equal to one kilogram of carbon-dioxide-equivalent reduction. Germany required a 10.6% lifecycle-intensity reduction in 2025, while Ireland set a 32% energy-content obligation for 2026.

North American economics were stronger in mid-2026. The EPA set 9.07 billion D4 RINs for 2026, D4 RIN prices reached approximately USD 2.41 in June, and total RIN value for renewable diesel was estimated at USD 3.85-4.10 per gallon. California tightened its 2025 target by 9% but will cap biomass-based diesel credit generation from soybean or canola oil at 20%, effective in 2028 for existing plants. Canada's compliance credits approached CAD 370 per ton of carbon dioxide equivalent in early 2026. The regulatory framework supports demand and rewards low-carbon waste feedstocks, but eligibility changes can quickly reduce a feedstock's value.

FEEDSTOCK AVAILABILITY IS THE PHYSICAL CEILING

Clean Fuels Alliance America projected five to ten billion gallons of global used-cooking-oil supply by 2030, potentially increasing by another four to seven billion gallons with better collection. At the same time, European animal-fat demand for biofuel could triple by 2030, while 82% of global SAF capacity is expected to use the same HEFA pool. Road fuels therefore compete internally with SAF and externally with every HEFA developer for finite residues. China's removal of its 13% UCO export rebate led to a 60% month-on-month export decline in December 2024, and US tariffs later redirected trade further.

Traceability has direct economic value, not just administrative importance. The EU Union Database became mandatory in November 2024, and proposed rules would extend tracking to the first gathering point. US 45Z stakeholders were still debating equivalent point-of-origin documentation in May 2026. Strong enforcement helps Neste if its procurement system is better, because fraudulent or double-counted material leaves the eligible pool. Weak enforcement allows cheaper feedstocks to compete for the same credits. The model assumes certified supply can support the inferred 3.3 million tons of road sales, but not enough waste material for every announced competitor to run at nameplate.

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CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.2 Renewable road fuels installed base (continued)

Business division deep dive — Profit engine.

EVIDENCE OF EXECUTION IS IMPROVING, NOT COMPLETE

Renewable facilities operated at 53% utilisation in Q4 2025 and 75% in Q2 2026, still below the 80% target. Moving from 75% to 80% across 5.5 million tons of capacity adds about 275000 tons of annualized output before mix effects. At EUR 150 EBITDA per ton, this utilization increase is worth roughly EUR 41 million annually in the report's framework. The larger benefit comes from spreading fixed costs, improving yields and directing output to the highest-value jurisdiction. A quarter above 80% utilization with stable sales margin would be stronger evidence than another margin spike at constrained throughput.

Q2 2026 also coincided with strong middle-distillate markets and volatility after the Strait of Hormuz closure during the first quarter. Management's new organization, effective 1 April 2026, explicitly focuses on value creation in North American renewable products. This could improve credit and product optimization, but redesign is not yet an operating result. The next evidence will be sustained utilization, margin after feedstock inflation and cash conversion during the heavy-capex period. The report treats recent margin as evidence against permanent impairment, not as the steady-state earnings input.

VALUATION AND WHAT BREAKS IT

The division is valued at 8.0x EUR 500 million of modeled FY2027 EBITDA, producing EUR 4 billion of EV. The multiple is above conventional refiners such as Repsol at 3.3x and Eni at 5.2x 2027 EV/EBITDA, but below VERBIO at 9.7x and Darling Ingredients at 9.9x. It is close to Neste's 7.59x normalized historical EV/EBITDA average. The premium reflects policy-supported demand, feedstock capability and flexibility. The discount to renewable peers reflects volatility, mixed segment disclosure and SAF's competition for the same feedstock.

RENEWABLE ROAD FUELS INSTALLED BASE FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE	EUR 5,000m
MODEL ESTIMATE REPORTED EBIT	EUR 105m
MODELLED FY2025 REVENUE	EUR 5.0bn
MODELLED FY2027 EBITDA	EUR 500m
VALUATION MULTIPLE	8.0x FY2027E EBITDA
COMPARABLE SALES MARGIN	USD 1223/t Q2 2026
RENEWABLE UTILISATION	75% Q2 2026; target 80%
WASTE AND RESIDUE INPUTS	91% Q4 2025
ESTIMATED GLOBAL SHARE	13.5% broad market
NAMEPLATE RENEWABLE CAPACITY	5.5Mt/y early 2026

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.2 Renewable road fuels installed base (continued)

Business division deep dive — Profit engine.

The value declines in stages. At EUR 100 EBITDA per ton on 3.3 million tons, EBITDA is EUR 330 million and value at 7.0x is EUR 2.3 billion, EUR 1.7 billion below base. At EUR 200 per ton and 3.6 million tons, EBITDA reaches EUR 720 million and value at 9.0x is EUR 6.5 billion. The main risk is not one weak quarter but simultaneous sub-70% utilization, sales margin below USD 600 per ton and loss of waste-feedstock eligibility. That would leave the installed base as high-fixed-cost commodity capacity rather than a premium conversion platform.

RENEWABLE ROAD FUELS INSTALLED BASE FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 5,000m

MODEL ESTIMATE REPORTED EBIT
EUR 105m

MODELLED FY2025 REVENUE
EUR 5.0bn

MODELLED FY2027 EBITDA
EUR 500m

VALUATION MULTIPLE
8.0x FY2027E EBITDA

COMPARABLE SALES MARGIN
USD 1223/t Q2 2026

RENEWABLE UTILISATION
75% Q2 2026; target 80%

WASTE AND RESIDUE INPUTS
91% Q4 2025

ESTIMATED GLOBAL SHARE
13.5% broad market

NAMEPLATE RENEWABLE CAPACITY
5.5Mt/y early 2026

RENEWABLE ROAD FUELS: COMPETITIVE SCALE AND OPERATING EVIDENCE

OPERATOR	CAPACITY OR THROUGHPUT	MARKET POSITION	DECISIVE EVIDENCE
Neste	5.5Mt/y (2026)	13.5% est. share (2025)	USD 1223/t margin Q2 2026
Diamond Green Diesel	1.2bn gal/y (2026)	Largest in North America	Integrated with Valero/Darling
Phillips 66 Rodeo	30000 b/d (2025)	Top-five producer	Full operation Jan 2025
Eni Enilive	315kt Q3 2025	>5Mt/y target (2030)	Livorno adds 500kt/y
Global top five	38.5% share (2025)	Concentrated leaders	Capacity additions continue

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.3 Uncommissioned renewable capacity and pathway options

Business division deep dive — Emerging option.

THE PROJECT SERVES LARGE FUEL MARKETS BUT MUST EARN INCREMENTAL VALUE

Rotterdam competes for the USD 255-1106 billion diesel pool and USD 270-306 billion aviation-fuel pool. The current labelled renewable-diesel and SAF markets are only about USD 26-35 billion and USD 4-5 billion, respectively. Demand potential is therefore not the limiting valuation variable. The plant must capture policy-supported revenue without losing margin to excess HEFA capacity and feedstock bidding. The option is valued on achievable plant revenue, EBITDA and probability, not a share of global fuel spending.

The base option case assumes EUR 1.3 billion of revenue at scale, equal to about 833000 tons at EUR 1500 per ton. This is below the 1.3 million-ton incremental Rotterdam capacity, allowing for ramp inefficiency, product mix and unsold capability. At a 40% EBITDA margin, the case produces EUR 500 million of EBITDA. The margin is high but supported by the USD 1223-per-ton comparable sales margin in exceptional Q2 conditions. The downside case assumes EUR 600 million of revenue and EUR 200 million EBITDA, while the upside case assumes EUR 2.3 billion and EUR 900 million EBITDA.

COMPLETION IS THE FIRST GATE; SPECIFICATION AND UTILIZATION ARE THE SECOND

Neste's official timetable is for completion in 2027, raising Rotterdam renewable capacity to 2.7 million tons annually. A contractor page cited a first-half 2026 start, but this conflicts with the company's later formal schedule; the report uses the official 2027 timetable. The total investment estimate increased from EUR 1.9 billion to EUR 2.5 billion, and EUR 610 million was allocated to Rotterdam expansion and SAF value during 2025. The cost reset and delay justify probability weighting even though construction is advanced.

Commissioning must prove product specification, yield, throughput and stable operation. Singapore eventually reached up to 2.6 million tons of capability after early operating challenges, showing that a delayed ramp need not mean permanent failure, although it can defer cash flow and absorb working capital. No detailed Rotterdam commissioning schedule or remaining stand-alone capital estimate is available. The report therefore uses three success cases totaling 70% probability and a 30% zero-value remainder. Failure includes another major delay, inability to run economically on eligible feedstock or a capital reset that consumes operating value.

UNCOMMISSIONED RENEWABLE CAPACITY AND PATHWAY OPTIONS FACT SHEET

EMERGING OPTION

REVENUE	Not separately reported
REPORTED EBIT	Not separately reported
ROTTERDAM COMPLETION	2027 official schedule
TOTAL PROJECT COST	EUR 2.5bn
RENEWABLE SITE CAPACITY	2.7Mt/y after expansion
SAF CAPABILITY TARGET	2.2Mt/y by end-2027
BASE-LEG REVENUE AT SCALE	EUR 1.25bn
BASE-LEG EBITDA AT SCALE	EUR 500m
SUCCESS PROBABILITY	70% across three legs
FAILURE REMAINDER	30%

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.3 Uncommissioned renewable capacity and pathway options (continued)

Business division deep dive — Emerging option.

- Downside success: 20% probability; EUR 600m revenue, EUR 200m EBITDA, 8.0x at 2028 scale.
- Base success: 35% probability; EUR 1.25bn revenue, EUR 500m EBITDA, 9.0x at 2028 scale.
- Upside success: 15% probability; EUR 2.25bn revenue, EUR 900m EBITDA, 10.0x at 2029 scale.
- Failure remainder: 30%; no option value if completion, specification or feedstock economics fail.

FUNDING IS MANAGEABLE ONLY IF OPERATING CASH FLOW SUPPORTS THE BUILD

Neste guided to EUR 1.0-1.2 billion of 2026 capital expenditure and capped 2025-2026 spending at EUR 2.4 billion. The model forecasts EUR 1.58 billion of gross capital expenditure and negative EUR 444 million FCFF for 2026. It then forecasts EUR 1.656 billion and negative EUR 476 million in 2027. Net debt rises from EUR 841 million in 2025 to EUR 2 billion in 2027 before falling to EUR 1.1 billion in 2028. The balance sheet can fund completion if margins remain healthy, but a Porvoo outage, working-capital build and renewable-margin reversal together would reduce the cushion.

At June 2026, gross interest-bearing liabilities were EUR 4.7 billion. First-half working capital increased EUR 842 million because of turnaround inventory. Moody's indicated that leverage should fall toward 2.5x to avoid downgrade pressure. The company's modeled net-debt-to-EBITDA reaches only 1.11x in 2027, but this depends on EBITDA delivery. Tender offers for existing EUR 400 million and EUR 500 million notes and available green financing improve maturity management, but do not remove project risk. The option's probability is therefore partly a balance-sheet issue, not only an engineering issue.

COMPETITION VALIDATES THE MARKET AND PRESSURES RETURNS

Diamond Green Diesel's 1.2 billion gallons of capacity, Eni's 500000-ton Livorno conversion and TotalEnergies' 230000-ton Grandpuits SAF project show continued incumbent investment. SkyNRG began building a 100000-ton SAF plant in May 2026, while LanzaJet targets a one-billion-gallon 2030 pipeline. Gevo's cancellation of a 60-million-gallon project shows that announced capacity is not certain supply. Rotterdam benefits from expansion at an operating site with logistics and customer channels, but competes for the same feedstock pool.

The report does not calculate market share from future capacity because there is no consistent pipeline denominator. In the base case, 833000 tons is roughly 15% of Neste's current 5.5 million-ton nameplate and less than 0.1% of the lower USD 270 billion aviation-fuel spend at EUR 1500 per ton. The capture requirement is operationally meaningful but small globally. If competitors fail or delay, Rotterdam can capture mandate-driven scarcity rents. If all announced HEFA plants run, feedstock and credit economics may shift value from refiners to residue suppliers.

UNCOMMISSIONED RENEWABLE CAPACITY AND PATHWAY OPTIONS FACT SHEET

EMERGING OPTION

REVENUE	Not separately reported
REPORTED EBIT	Not separately reported
ROTTERDAM COMPLETION	2027 official schedule
TOTAL PROJECT COST	EUR 2.5bn
RENEWABLE SITE CAPACITY	2.7Mt/y after expansion
SAF CAPABILITY TARGET	2.2Mt/y by end-2027
BASE-LEG REVENUE AT SCALE	EUR 1.25bn
BASE-LEG EBITDA AT SCALE	EUR 500m
SUCCESS PROBABILITY	70% across three legs
FAILURE REMAINDER	30%

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.3 Uncommissioned renewable capacity and pathway options (continued)

Business division deep dive — Emerging option.

OPTION VALUATION AND WHAT WOULD CHANGE IT

The probability-weighted discounted option value is EUR 2.6 billion in the division map. It is based on EUR 1.6 billion of downside EV at 20%, EUR 4.5 billion of base EV at 35%, and EUR 9 billion of upside EV at 15%, discounted from the stated scale years at the modeled 7% cost of capital. The reported map value is rounded to keep the division bridge readable. The remainder is zero rather than negative because committed capital and debt are already reflected in group forecasts and the locked EV-to-equity bridge.

Probability should increase if mechanical completion remains on the official 2027 schedule, commissioning meets specification, utilization exceeds 70% within two quarters and contracted SAF demand absorbs incremental output. It should fall if completion slips beyond 2027, another cost increase exceeds EUR 300 million, or eligible-feedstock margins fall below fixed-cost coverage. The most useful indicator is not construction percentage, but evidence on feedstock procurement, contract coverage and achieved yield. The option represents 16.4% of EV, but failure does not eliminate the installed businesses.

UNCOMMISSIONED RENEWABLE CAPACITY AND PATHWAY OPTIONS FACT SHEET

EMERGING OPTION

REVENUE
Not separately reported

REPORTED EBIT
Not separately reported

ROTTERDAM COMPLETION
2027 official schedule

TOTAL PROJECT COST
EUR 2.5bn

RENEWABLE SITE CAPACITY
2.7Mt/y after expansion

SAF CAPABILITY TARGET
2.2Mt/y by end-2027

BASE-LEG REVENUE AT SCALE
EUR 1.25bn

BASE-LEG EBITDA AT SCALE
EUR 500m

SUCCESS PROBABILITY
70% across three legs

FAILURE REMAINDER
30%

UNCOMMISSIONED CAPACITY: COMPETING PROJECTS AND EXECUTION STATUS

PROJECT/OPERATOR	INCREMENTAL CAPACITY	TIMING	EXECUTION STATUS
Neste Rotterdam	+1.3Mt/y	2027	EUR 2.5bn official estimate
Eni Livorno	500kt/y	2026	Conversion project
TotalEnergies Grandpuits	230kt/y SAF	2026	Planned production
SkyNRG DSL-01	100kt/y SAF	2028	Construction from May 2026
LanzaJet pipeline	1bn gal/y target	2030	Multiple ATJ projects
Gevo Net-Zero 1	60m gal/y	Cancelled 2026	Infrastructure challenge

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.4 Sustainable aviation fuel installed base

Business division deep dive — Profit engine.

THE OPPORTUNITY IS AVIATION-FUEL SPENDING, NOT TODAY'S SAF MARKET

SAF competes for the conventional aviation-fuel pool, estimated at USD 306.48 billion in 2025 by Mordor Intelligence and USD 270 billion by Ken Research. The labelled SAF market was only USD 4.02-4.86 billion in 2026 according to Fortune Business Insights and MarketsandMarkets. This gap creates the opportunity: mandates can move SAF from a specialty product to a material share of aviation fuel. The report values only capacity and demand visible through 2027, not full jet-fuel replacement. Modeled FY2025 SAF revenue of EUR 1.8 billion requires about 0.64 million tons at the Q2 Northwest European benchmark of USD 2830 per ton before currency and geographic adjustments.

The inferred annual volume is consistent with Q2 sales of 145000 tons, which annualize to 580000 tons, but is not directly disclosed. Against 1.5 million tons of current production capability, this implies SAF-specific capacity utilization below 50%. Facilities can shift intermediate output between road fuel and SAF, and quarterly sales may not equal production. The valuation requires EUR 250 million of FY2027 EBITDA, or approximately EUR 390 per ton on 0.64 million tons. This is a 13.9% margin on modeled revenue. The 2.2 million-ton capacity target by end-2027 means sold volume, not physical capacity, is the main constraint.

MANDATES CREATE ENFORCEABLE DEMAND BY JURISDICTION

The EU ReFuelEU mandate began at 2% in 2025 and rises to 6% by 2030. The official synthetic-fuel sub-mandate starts at 0.7% in 2030, rather than the conflicting 1.2% cited by NoviqTech; the report uses the European Commission's legal text. The United Kingdom also began at 2% and rises to 10% in 2030, with an indicated buyout price of GBP 5875 per ton for missing the main obligation. The UK limits HEFA to 71% of the mandate by 2030, reserving growth for advanced pathways. Neste's HEFA advantage is therefore strongest in the early mandate years and weakens over time.

The United States supports SAF through 45Z, reportedly worth up to USD 1.75 per gallon for qualifying fuel and extended through 2029. Value depends on lifecycle-carbon measurement and domestic-content rules. Singapore deferred its 1% mandate to flights departing from 1 January 2027, delaying near-term demand by one year. Japan plans a 5% requirement for 2030 but had not finalized it by the report date. The framework supports global demand but creates timing, pathway and documentation risk. Europe and the UK are approved and operating; Singapore is approved but deferred; Japan remains pending.

SUSTAINABLE AVIATION FUEL INSTALLED BASE FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE	EUR 1,800m
MODEL ESTIMATE REPORTED EBIT	EUR 35m
MODELLED FY2025 REVENUE	EUR 1.8bn
MODELLED FY2027 EBITDA	EUR 250m
VALUATION MULTIPLE	10.0x FY2027E EBITDA
CURRENT SAF CAPABILITY	1.5Mt/y
2027 SAF TARGET	2.2Mt/y
Q2 2026 SAF VOLUME	145kt
NWE SAF BENCHMARK	USD 2830/t Q2 2026
EU MANDATE	2% 2025; 6% 2030

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.4 Sustainable aviation fuel installed base (continued)

Business division deep dive — Profit engine.

- European Union: 2% SAF mandate from 2025, 6% by 2030; synthetic sub-mandate 0.7% in 2030.
- United Kingdom: 2% from 2025, 10% by 2030; HEFA limited to 71% of the mandate in 2030.
- United States: 45Z available through 2029, with up to USD 1.75/gal cited for qualifying SAF.
- Singapore: 1% mandate deferred to departures from 1 January 2027.
- Japan: proposed 5% 2030 mandate awaiting finalization in fiscal 2026.

CAPACITY LEADERSHIP IS CREDIBLE, BUT SHARE ESTIMATES CONFLICT

Neste reports 1.5 million tons per year of global SAF capability across Finland, Singapore and the Netherlands, and calls itself the global production leader. Published market-share estimates range from 5-8% at Market Research Future to 20% "market influence" at MarketsandMarkets. These measures are not comparable: one appears to capture market volume or revenue, while the other includes capacity and network influence. The report relies on physical capability and contracted distribution instead of choosing the higher share estimate. World Fuel Services' five-year relationship provides access to more than 100 European airports, while United Airlines' arrangement expanded to Houston, Newark and Dulles.

Individual competitor sites are smaller, but the development pipeline is broad. TotalEnergies' Grandpuits project has 230000 tons of annual SAF capacity, SkyNRG is building 100000 tons for 2028, and LanzaJet targets a one-billion-gallon pipeline by 2030. Gevo's cancellation of the 60-million-gallon Net-Zero 1 project in August 2026 shows that infrastructure and financing can remove nominal supply. HEFA represents an estimated 70-83.4% of current SAF and may account for 82% of 2030 capacity. This supports Neste's installed lead while increasing competition for oils and fats.

THE PRICE PREMIUM IS VISIBLE, BUT SUSTAINABLE MARGIN IS NOT ISOLATED

BloombergNEF estimated Northwest European SAF at USD 2830 per ton in Q2 2026, versus USD 1404 per ton for conventional jet fuel. The USD 1426-per-ton premium reflects scarcity, mandate value and geopolitical disruption, not producer profit. Feedstock at around USD 1085-1200 per ton, plus hydrogen, energy, yield loss, logistics and certification, absorbs much of it. Neste does not disclose separate SAF operating costs. The report therefore uses EUR 390 EBITDA per sold ton on the modeled 0.64 million-ton base rather than the full observed premium. Every EUR 100 per ton change moves EBITDA by about EUR 64 million.

SUSTAINABLE AVIATION FUEL INSTALLED BASE FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE	EUR 1,800m
MODEL ESTIMATE REPORTED EBIT	EUR 35m
MODELLED FY2025 REVENUE	EUR 1.8bn
MODELLED FY2027 EBITDA	EUR 250m
VALUATION MULTIPLE	10.0x FY2027E EBITDA
CURRENT SAF CAPABILITY	1.5Mt/y
2027 SAF TARGET	2.2Mt/y
Q2 2026 SAF VOLUME	145kt
NWE SAF BENCHMARK	USD 2830/t Q2 2026
EU MANDATE	2% 2025; 6% 2030

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.4 Sustainable aviation fuel installed base (continued)

Business division deep dive — Profit engine.

SAF's higher price can reduce renewable-road volumes because both use the same hydrotreated intermediate and eligible residue pool. The shift adds value only if the SAF premium exceeds extra processing, segregation, logistics and contract costs, plus forgone road credits. The Renewable Products comparable sales margin of USD 1223 per ton in Q2 confirms strong portfolio economics, but does not show whether SAF added to or diluted the result. Q2 SAF sales fell year over year despite high pricing, showing that capability does not automatically become sold volume. Contracted airport access therefore matters more than headline capacity.

VOLUME CONVERSION IS THE KEY EVIDENCE GAP

Annualizing Q2 sales of 145000 tons gives roughly 580000 tons, or 39% of current 1.5 million-ton capability. This is directional because seasonality, inventory movements and product allocation matter. Reaching one million tons of sales requires almost twice the Q2 run rate. Filling 2.2 million tons by 2027 requires nearly four times that rate. EU and UK mandates create a demand staircase, but airlines can meet obligations through suppliers, book-and-claim arrangements or buyout mechanisms. Neste must convert policy demand into contracts that preserve the feedstock-adjusted premium.

The five-year World Fuel relationship reduces route-to-market risk at more than 100 airports, while the United agreement demonstrates US airport expansion. Disclosed contract volumes are unavailable, preventing an independent contract-coverage calculation. The division is therefore valued on modest volume, with approximately 0.64 million tons in the base case. Upside exists if sold volume reaches one million tons at a EUR 350-450 per-ton EBITDA contribution. Downside follows if HEFA caps, airline resistance or delayed national enforcement keep sales near the Q2 run rate while feedstock costs rise.

VALUATION AND FAILURE CONDITIONS

The division is valued at 10.0x EUR 250 million of modeled FY2027 EBITDA, producing EUR 2.5 billion. The multiple is above the 6.8x peer median for 2027 because SAF has a statutory demand ramp and Neste has scarce installed capability. It remains below growth multiples often assigned to pure transition businesses. Modeled EBITDA is less than 15% of FY2025 revenue and does not assume full use of the 2.2 million-ton target. It also avoids double counting Rotterdam, whose uncommissioned expansion value is separately probability weighted.

SUSTAINABLE AVIATION FUEL INSTALLED BASE FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE	EUR 1,800m
MODEL ESTIMATE REPORTED EBIT	EUR 35m
MODELLED FY2025 REVENUE	EUR 1.8bn
MODELLED FY2027 EBITDA	EUR 250m
VALUATION MULTIPLE	10.0x FY2027E EBITDA
CURRENT SAF CAPABILITY	1.5Mt/y
2027 SAF TARGET	2.2Mt/y
Q2 2026 SAF VOLUME	145kt
NWE SAF BENCHMARK	USD 2830/t Q2 2026
EU MANDATE	2% 2025; 6% 2030

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.4 Sustainable aviation fuel installed base (continued)

Business division deep dive — Profit engine.

At 0.5 million tons and EUR 250 per-ton EBITDA, earnings would be EUR 125 million and value at 8.0x would be EUR 1 billion. At one million tons and EUR 450 per ton, earnings would be EUR 450 million and value at 11.0x would be EUR 5 billion. The base falls between these outcomes. EU and UK mandates support demand, but Q2 volume and feedstock competition argue against capacity-based assumptions. The case fails if HEFA eligibility contracts faster than advanced pathways become available, or if Neste cannot secure compliant feedstock without giving up the observed price premium.

SUSTAINABLE AVIATION FUEL INSTALLED BASE FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE	EUR 1,800m
MODEL ESTIMATE REPORTED EBIT	EUR 35m
MODELLED FY2025 REVENUE	EUR 1.8bn
MODELLED FY2027 EBITDA	EUR 250m
VALUATION MULTIPLE	10.0x FY2027E EBITDA
CURRENT SAF CAPABILITY	1.5Mt/y
2027 SAF TARGET	2.2Mt/y
Q2 2026 SAF VOLUME	145kt
NWE SAF BENCHMARK	USD 2830/t Q2 2026
EU MANDATE	2% 2025; 6% 2030

SUSTAINABLE AVIATION FUEL: CAPACITY, SHARE CLAIMS AND EXECUTION GATES

OPERATOR	SAF CAPACITY OR PIPELINE	MARKET POSITION	LATEST GATE
Neste	1.5Mt/y (2026)	5-8% to 20% estimates	2.2Mt/y target in 2027
TotalEnergies	230kt/y Grandpuits	5-8% est. share	Production from 2026
World Energy	Not disclosed	8% est. share	Established producer
LanzaJet	1bn gal/y target 2030	2-4% to 7% estimates	ATJ pipeline development
SkyNRG	100kt/y planned	2-3% est. share	Construction began May 2026
Gevo	60m gal/y cancelled	3-5% est. share	Net-Zero 1 scrapped Aug 2026

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.5 Marketing, retail and distribution

Business division deep dive — Profit engine.

THE PRIZE IS RECURRING MOBILITY AND CONVENIENCE SPEND

Marketing and distribution competes for consumer and fleet spending on fuel, convenience retail, fleet services and charging across Finland and the Baltics. A precise regional end-user spending pool is unavailable, so the most auditable scale is Neste's EUR 4.3 billion of external sales and nearly 1000-station network. Reported EBIT was EUR 82 million on EUR 4.3 billion of total segment sales, a 1.9% margin. The value case depends on preserving site economics as liquid-fuel volumes decline, not revenue growth.

Neste is Finland's largest service-station network by site count, with 476 sites and approximately 24.5% of the national network. St1 reached about 470 Finnish sites after rebranding former Shell locations, making local competition intense. In Lithuania, Viada led with 29% and 216 sites, Circle K held 15% with 96 sites, and Neste held 11.9% with 86 sites. In Estonia, Olerex had about 27%, Circle K 26%, and Neste and Alexela approximately 18% each.

- Neste: nearly 1000 stations regionally in Q2 2026; 476 Finnish sites and 24.5% site share in 2025.
- St1 Finland: approximately 470 sites by December 2025.
- Viada Lithuania: 216 sites and 29% share in 2025.
- Circle K Lithuania: 96 sites and 15% share in 2025.
- Olerex Estonia: about 27% share and EUR 438.3m fuel-retail sales in 2025.

MARGIN IMPROVEMENT MATTERS MORE THAN FUEL REVENUE

Fuel retail has high pass-through commodity revenue and low operating margins, so EV/Sales would overstate value. The report models EUR 300 million of FY2027 EBITDA, equal to 7.0% of external revenue and approximately EUR 300000 per station across a 1000-site network. This includes distribution and fleet economics, not only forecourt profit. It requires convenience, automation, procurement and network density to offset declining liters. Reported EBIT of EUR 82 million shows that depreciation and current costs still absorb much of the gross contribution.

Charging can preserve customer relevance, but it does not automatically replace fuel profit. Returns depend on utilization, electricity procurement, grid fees and charger capital, while convenience spending depends on dwell time and location. No charging-point count or unit economics are available, so the valuation assigns no separate charging value. Instead, it assumes the network evolves within the EUR 300 million EBITDA base. Investors should seek disclosure of non-fuel gross profit, charging utilization and return on site investment before applying a convenience-retail multiple similar to Couche-Tard's.

MARKETING, RETAIL AND DISTRIBUTION FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE	**EUR 4,272m**
MODEL ESTIMATE REPORTED EBIT	**EUR 82m**
NETWORK SCALE	**Nearly 1000 stations**
FINLAND SITES	**476; 24.5% network share**
LITHUANIA SHARE	**11.9%; 86 stations**
ESTONIA SHARE	**Approx. 18%**
MODELLED FY2027 EBITDA	**EUR 300m**
VALUATION MULTIPLE	**8.0x FY2027E EBITDA**
FY2025 EBIT MARGIN	**1.9% of total sales**

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.5 Marketing, retail and distribution (continued)

Business division deep dive — Profit engine.

VALUATION AND DOWNSIDE

The division is valued at 8.0x EUR 300 million of modeled FY2027 EBITDA, producing EUR 2.4 billion. The multiple is below Couche-Tard's 10.0x 2027 EV/EBITDA because Neste has lower margins, less geographic diversity and more exposure to declining fuel volumes. It is above conventional refining multiples because retail cash flow is less tied to crack spreads. At EUR 200 million EBITDA and 6.0x, value would be EUR 1.2 billion. At EUR 350 million and 9.0x, value would be EUR 3.1 billion.

The base case fails if fuel volume declines faster than costs can be removed and convenience or charging does not offset the loss. Early warnings are site closures, lower fleet volumes, persistently sub-2% EBIT margin and charging investment without utilization disclosure. Upside could come from taking share vacated by Teboil, which held roughly 20% of Finnish stations before late-2025 shutdowns, and from higher-margin convenience services. The division is a cash-flow stabilizer rather than the main growth engine, but its network also supports renewable-fuel distribution.

MARKETING, RETAIL AND DISTRIBUTION FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 4,272m

MODEL ESTIMATE REPORTED EBIT
EUR 82m

NETWORK SCALE
Nearly 1000 stations

FINLAND SITES
476; 24.5% network share

LITHUANIA SHARE
11.9%; 86 stations

ESTONIA SHARE
Approx. 18%

MODELLED FY2027 EBITDA
EUR 300m

VALUATION MULTIPLE
8.0x FY2027E EBITDA

FY2025 EBIT MARGIN
1.9% of total sales

MARKETING AND RETAIL: NETWORK POSITION BY CORE MARKET

OPERATOR	NETWORK/SHARE	MARKET	LATEST SCALE EVIDENCE
Neste	476 sites; 24.5%	Finland	Nearly 1000 regional sites
St1	Approx. 470 sites	Finland	Shell rebrand complete 2025
Viada	216 sites; 29%	Lithuania	Market leader 2025
Circle K	96 sites; 15%	Lithuania	Second-tier network
Olerex	Approx. 27%	Estonia	EUR 438.3m sales 2025
Neste	86 sites; 11.9%	Lithuania	Third-largest cited share

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.6 Renewable polymers and chemicals

Business division deep dive — Profit engine.

THE ADDRESSABLE PRIZE IS THE FOSSIL POLYMER POOL

Renewable and circular feedstocks compete with more than USD 835.36 billion of annual polymer spending estimated by Precedence Research for 2025, not only with renewable chemicals. The latter was estimated at USD 147.01 billion by one industry study and USD 145.79 billion by Market Research Future, supporting a labelled market of roughly USD 146 billion. Neste needs only a small share for material revenue. The report models EUR 1 billion of FY2025 revenue as the residual of Renewable Products external sales after EUR 5 billion of road fuels and EUR 1.8 billion of SAF.

The residual method is necessary because Neste does not separately disclose product revenue or end-use volumes for renewable polymers and chemicals. It is not company disclosure. At an assumed EUR 1500 per ton, EUR 1 billion implies approximately 678000 tons. An EUR 80 million EBITDA contribution equals EUR 118 per ton or a 7.9% margin. Price and volume are assumptions, and a different allocation across Renewable Products end uses would change this division without changing reported segment totals. The valuation effect is limited because the division represents only 4.0% of report EV.

COMPETITION IS BETWEEN DROP-IN FEEDSTOCK AND DEDICATED BIOPOLYMERS

Neste supplies renewable and circular hydrocarbon feedstocks that customers can process in existing chemical assets. Braskem's bio-polyethylene and producers such as NatureWorks instead compete through dedicated polymer chains. Braskem was described as the largest bio-based polyethylene producer, while four PLA producers controlled 86% of global PLA capacity. BASF, Dow and Braskem also compete through broad portfolios and customer relationships. Neste benefits from compatibility with conventional crackers and mass-balance systems, but depends on customers paying for carbon attributes that are less visible than fuel mandates.

- Neste: modelled EUR 1.017bn FY2025 revenue; drop-in renewable and circular feedstocks.
- Braskem: largest bio-based PE producer; 38.2% cited Latin American share in 2025.
- NatureWorks: one of four producers controlling 86% of global PLA capacity in 2025.
- TotalEnergies Corbion: major PLA producer within the same concentrated capacity group.
- BASF and Dow: broad incumbent chemical portfolios and customer access.

RENEWABLE POLYMERS AND CHEMICALS FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE	EUR 1,017m
MODEL ESTIMATE REPORTED EBIT	EUR 11m
MODELLED FY2025 REVENUE	EUR 1.017bn
MODELLED FY2027 EBITDA	EUR 80m
VALUATION MULTIPLE	8.0x FY2027E EBITDA
RENEWABLE CHEMICALS MARKET	USD 145.79-147.01bn
DISPLACED POLYMER SPEND	USD 835.36bn (2025)
MODELLED EBITDA MARGIN	7.9%
PORVOO WASTE-PLASTIC UNIT	150kt/y; ramp 2026

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.6 Renewable polymers and chemicals (continued)

Business division deep dive — Profit engine.

PREMIUM DURABILITY IS THE DECISIVE VARIABLE

Unlike road fuels and SAF, polymers generally lack a broad enforceable blending mandate. Demand depends on brand commitments, chemical-company decarbonization targets, certification and consumers' willingness to pay. The division can earn a premium if customers value a drop-in solution that avoids changing equipment or product performance. That premium can disappear in weak chemical cycles or during corporate cost cutting, leaving renewable naphtha tied to fossil benchmarks despite higher feedstock costs. The report therefore uses lower EBITDA and no growth premium despite the large displaced market.

The 150000-ton-per-year Porvoo liquefied-waste-plastic upgrading unit was completed in 2025 and is scheduled to ramp up in 2026. It broadens the business from renewable carbon to circular carbon. Successful ramp-up could improve customer relevance and provide feedstocks that are not directly shared with HEFA fuels. However, the unit is small relative to group sales and must prove product quality, yield and customer acceptance. The model assigns no separate option value; any contribution is included in the EUR 80 million EBITDA. Failure would reduce upside, not threaten group solvency.

VALUATION AND DOWNSIDE

The division is valued at 8.0x modeled FY2027 EBITDA of EUR 80 million, producing EUR 640 million of EV. The multiple is close to Neste's 7.59x normalized historical EV/EBITDA and below Darling's 9.9x 2027 multiple. At a 4% margin on EUR 900 million of revenue, EBITDA would be EUR 36 million and value at 6.0x would be EUR 216 million. At 12% on EUR 1.2 billion, EBITDA would reach EUR 144 million and value at 9.0x would be EUR 1.3 billion.

RENEWABLE POLYMERS AND CHEMICALS FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE	EUR 1,017m
MODEL ESTIMATE REPORTED EBIT	EUR 11m
MODELLED FY2025 REVENUE	EUR 1.017bn
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CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.6 Renewable polymers and chemicals (continued)

Business division deep dive — Profit engine.

The base case fails if brand owners will not pay a renewable premium while feedstock remains linked to high-value fuel credits. Neste would then rationally divert molecules to road fuel or SAF, reducing the chemicals division. Verified circular-plastic yields and multi-year customer contracts could instead create a less policy-dependent earnings stream. Until volumes, premiums and customer contracts are disclosed, the report treats the business as a modest current profit engine rather than a major valuation driver.

RENEWABLE POLYMERS AND CHEMICALS FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE	EUR 1,017m
MODEL ESTIMATE REPORTED EBIT	EUR 11m
MODELLED FY2025 REVENUE	EUR 1.017bn
MODELLED FY2027 EBITDA	EUR 80m
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PORVOO WASTE-PLASTIC UNIT	150kt/y; ramp 2026

RENEWABLE POLYMERS AND CHEMICALS: COMPETING LOW-CARBON PLATFORMS

OPERATOR	PRIMARY PLATFORM	SCALE INDICATOR	COMPETITIVE EDGE
Neste	Drop-in feedstocks	EUR 1.017bn modelled	Refinery and mass balance
Braskem	Bio-based PE	38.2% LatAm share 2025	Dedicated polymer scale
NatureWorks	PLA	Top-four capacity group	Established biopolymer
TotalEnergies Corbion	PLA	Top-four capacity group	Integrated chemicals
BASF	Renewable chemicals	Global incumbent	Customer and product breadth

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.7 Corporate and other activities

Business division deep dive — Shared cost center.

THIS POOL IS A COST CLAIM ON OPERATING VALUE

Corporate and other activities include common functions and Neste Engineering Solutions, which provides engineering, procurement and construction-management services mainly to internal renewable projects. External sales were only EUR 7 million, while total segment sales were EUR 166 million and reported EBIT was negative EUR 62 million. The segment has no meaningful external market share. The valuation question is how much cost remains recurring after Rotterdam completion and performance-program savings.

Engineering peers such as Fluor, Worley and Technip Energies run large external businesses, unlike Neste Engineering Solutions. Fluor and Worley were estimated to hold 13% and 11% of the EPCM market, while Technip Energies generated EUR 7.2 billion of 2025 revenue. These figures show capability, not valuation comparability. NES may reduce project-interface risk and retain process knowledge, but internal revenue adds no group value unless it lowers third-party cost or improves delivery.

The report capitalizes negative EUR 62 million of EBIT at 8.0x, producing negative EUR 496 million. This is close to Inderes' negative EUR 550 million SOTP estimate and does not assume current costs disappear. Every EUR 10 million of verified recurring savings would add approximately EUR 80 million at the same multiple. Another EUR 25 million of persistent project or corporate cost would remove EUR 200 million.

The key evidence will come after major construction activity declines. If corporate EBIT cost remains near EUR 62 million after Rotterdam completion, it is structural. If external engineering work or internal savings reduce the loss below EUR 40 million, the valuation deduction should shrink. The bridge assigns no positive EPCM value because customer concentration, external backlog and stand-alone margins are not disclosed.

CORPORATE AND OTHER ACTIVITIES FACT SHEET

SHARED COST CENTER

MODEL ESTIMATE REVENUE
EUR 7m

MODEL ESTIMATE REPORTED EBIT
EUR -62m

VALUATION BASIS
8.0x recurring EBIT cost

IMPLIED NEGATIVE VALUE
EUR -496m

ACTIVITIES
Corporate functions and NES

Q4 2025 SEGMENT REVENUE
EUR 42m total

VERIFICATION GATE
Recurring cost reduction

CORPORATE AND ENGINEERING ACTIVITIES: EXTERNAL SCALE COMPARISON

OPERATOR	BUSINESS SCALE	MARKET INDICATOR	RELEVANCE TO NESTE
Neste NES/Others	EUR 166m total sales	EUR -62m EBIT 2025	Primarily internal
Fluor	Global EPCM	13% est. share 2025	External benchmark
Worley	Global EPCM	11% est. share 2025	Energy-transition peer
Technip Energies	EUR 7.2bn revenue	2025 record revenue	Project-delivery scale

CORE ANALYSIS · CROSS-DIVISION BRIDGE

Putting the divisions back together

09

How the business division valuations aggregate to the group, and the re-rating the target price requires.

Road fuels and SAF share hydrotreated capacity and the same scarce pool of waste oils and fats. SAF has a higher headline premium, but allocation makes sense only after allowing for extra processing and forgone road credits.

Oil Products and Marketing fund renewable investment and distribute product. Porvoo's 2026 turnaround also coincides with Rotterdam spending. Working-capital inventory protects supply but temporarily increases debt.

Corporate engineering can reduce risk at project interfaces, but its cost is borne by every operating division. The bridge therefore capitalizes the recurring loss rather than burying it in divisional margins.

> **BRIDGE MECHANICS**
>
> Each current profit engine is valued on modeled FY2027 EBITDA, except corporate costs, which are valued on EBIT. Rotterdam is valued only through discounted, probability-weighted operating cases.

The locked EUR 842 million EV equals 0.42x modeled 2025 EBITDA and 0.83x EBIT. Both are far below the 2026 peer median of 6.7x EV/EBITDA and Neste's 7.59x normalized history.

The reverse valuation requires negative EBIT through 2027 and only a 2.4% terminal EBIT margin. It also produces a EUR 2 billion discounted terminal contribution, then subtracts the locked debt and cash bridge to reach EUR 1 million of equity.

On division economics, the market control cannot support the EUR 4.5 billion value of Oil Products, let alone the renewable assets. It therefore implies persistent impairment across several unrelated divisions.

Peer multiples do not prove value. Integrated peers include upstream and chemicals assets, while renewable peers are volatile. The target uses lower multiples for refining, a mid-range road-fuel multiple and explicit failure probability for expansion.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the conclusion changes under less favourable scenarios.

Bear assumes EUR 18.5 billion of revenue, EUR 1.2 billion of EBITDA and a 6.5% margin. Renewable sales margin normalizes below recent levels, Porvoo loses most of the current crack benefit, Rotterdam receives no option value and corporate savings disappoint.

Base assumes EUR 20.8 billion of revenue and EUR 1.8 billion of EBITDA, in line with the authoritative 2027 forecast. Installed divisions deliver their bridge contributions, while Rotterdam retains discounted probability-weighted value rather than full-success value.

Bull assumes EUR 23 billion of revenue, EUR 2.8 billion of EBITDA and a 12.2% margin. Renewable utilization exceeds 80%, SAF sold volume approaches one million tons, Porvoo restarts cleanly and Rotterdam achieves the best-case economics. Higher operating cash flow reduces scenario net debt rather than retaining base-case debt.

BOTTOM LINE

The edge is not a forecast for another record quarter. It is the recognition that the locked market EV implies simultaneous failure of conventional refining, installed renewables, retail and project value. A conservative division bridge still produces EUR 16.2 billion of EV, with the main uncertainty in renewable-margin durability and Rotterdam execution.

FINANCIAL BRIDGE · PART 1

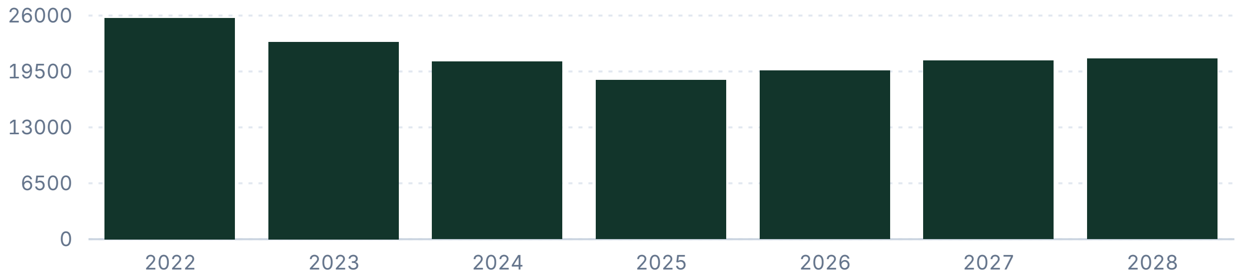
Net sales, EBITDA / EBIT, EBIT margin

14

Group-level trajectory for sales, earnings and margin; shaded bands mark forecast periods.

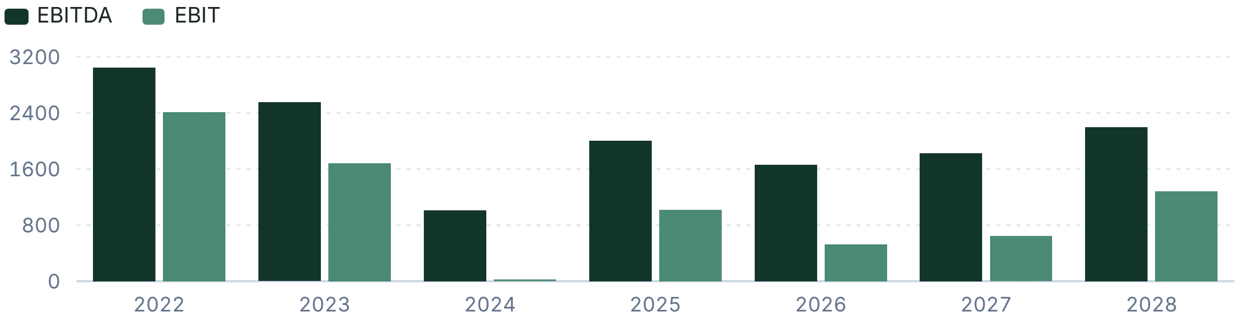
Net sales

EUR millions



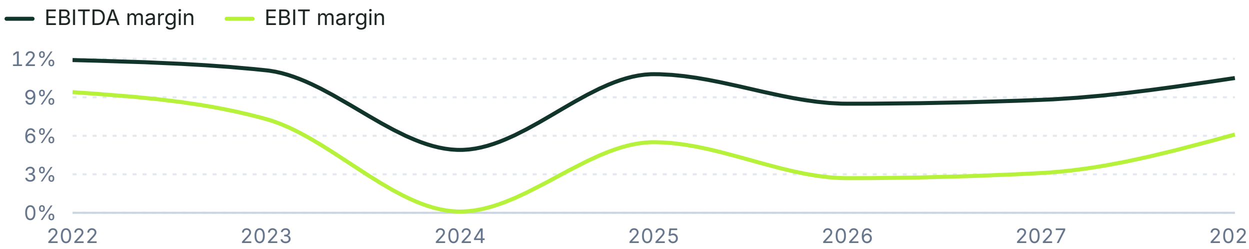
EBITDA & EBIT

EUR millions



EBIT and EBITDA margin

% of net sales



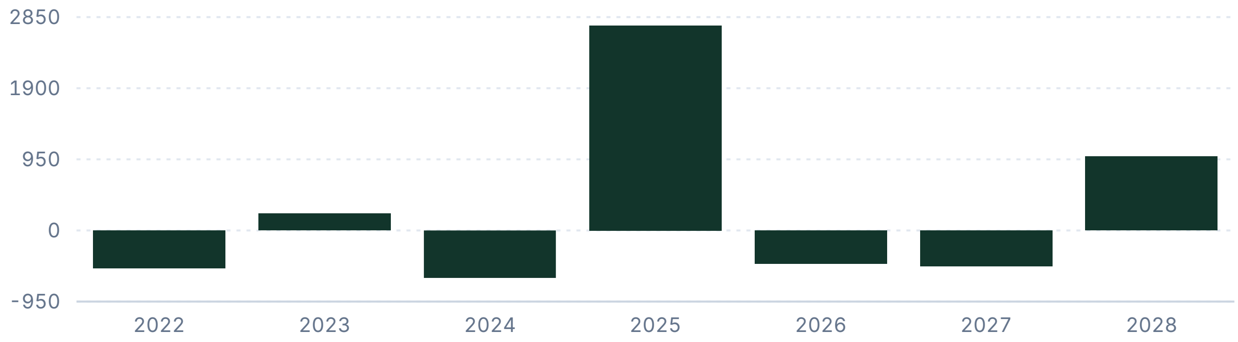
FINANCIAL BRIDGE · PART 2

15 Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

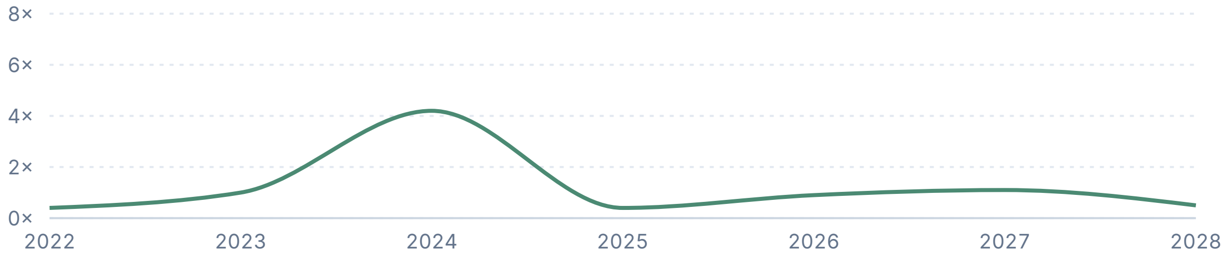
Free cash flow

EUR millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2024	2025	2026	2027	2028
Net Sales	20,635	18,488	19,586	20,761	20,985
EBITDA	1,007	2,001	1,658	1,824	2,197
Comparable EBIT	25	1,017	524	645	1,280
Net Earnings	**-94**	**878**	**—**	**-0**	**1,012**
EPS (EUR)	—	—	—	—	—
DPS (EUR)	—	0	0	0	0

VALUATION

Target price derivation

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The rationale for the chosen valuation method and multiple, with the company's historical multiples.

SOTP is required because conventional refining, retail, installed renewable fuels and unfinished capacity have different risk, margin and duration. Profit engines use FY2027 EBITDA multiples spanning 5.0x for refining to 10.0x for SAF; corporate cost uses EBIT, while Rotterdam uses discounted probability-weighted operating legs.

The selected multiples sit within the 2027 peer range and around Neste's 7.59x normalized historical EV/EBITDA. Sensitivity tests both EBITDA and the group cross-check multiple; the target remains a division result rather than an imposed price.

What the market is pricing.

The locked EUR 842m market EV is EUR 3.7 billion below the EUR 4.5 billion Oil Products value before assigning anything to the other pools. In this framework, current EV implies zero success probability for Rotterdam and a further EUR 3.7 billion impairment of installed businesses. The market-control reading is therefore more severe than merely discounting expansion.

The market assumes Conventional refining and wholesale is worth less than the full EUR 842m group EV. We assign a different reading: At 5.0x EUR 900m normalized EBITDA, Oil Products is worth EUR 4.5 billion; even EUR 500m at 4.0x gives EUR 2 billion. (Neste, 24 July 2026: Oil Products refining margin USD 25.8/bbl in Q2 2026.)

The market assumes Installed renewable capacity has negligible sustainable earnings. We assign a different reading: The report uses EUR 500m road-fuel EBITDA, well below the earnings power implied by the Q2 sales-margin indicator. (Neste, 24 July 2026: Renewable Products comparable sales margin USD 1223/t.)

The market assumes Rotterdam deserves no probability-weighted value. We assign a different reading: A 70% aggregate success probability across three operating legs produces material value while preserving a 30% zero outcome. (Neste, 5 March 2026 and 18 August 2026: official 2027 completion plan and SAF production milestone.)

HISTORICAL AND FORECAST MULTIPLES

METRIC	2019A	2020A	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	NORM. AVG. 2019-2024 (OUTLIERS DROPPED)
P/E	13.71x	67.16x	18.76x	17.45x	—	—	0.00x	n/m	n/m	0.00x	16.64x
P/E adj.	14x	67x	19x	17x	—	—	n/a	n/a	n/a	n/a	17x
EV/EBITDA	8.66x	33.69x	12.84x	11.29x	0.98x	4.16x	0.42x	0.51x	0.46x	0.38x	7.59x
EV/EBIT	10.61x	54.57x	16.55x	14.28x	1.48x	167.72x	0.83x	1.61x	1.31x	0.66x	10.73x
EV/Sales	—	3.85x	2.21x	1.34x	0.11x	0.20x	0.05x	0.04x	0.04x	0.04x	0.97x
P/FCF	-6.15x	58.12x	94.79x	-65.13x	—	—	0.00x	n/m	n/m	0.00x	76.45x
P/BV	4.02x	7.66x	4.77x	3.97x	—	—	0.00x	0.00x	0.00x	0.00x	5.11x
P/S	—	3.87x	2.20x	1.29x	—	—	0.00x	0.00x	0.00x	0.00x	2.45x
Dividend yield	2.5%	1.6%	1.8%	1.9%	—	—	0.7%	n/a	n/a	n/a	1.9%

VALUATION

Peers and target price bridge

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Validated peer multiples, each method's implied price and weight, and the sensitivity of the target.

PEER COMPARISON

COMPANY	2026E EV/EBITDA	2027E EV/EBITDA	2027E EBIT MARGIN	2027E ROIC
Neste model	0.51x	0.46x	3.1%	4.6%
Valero	6.5x	5.7x	4.0%	14.4%
Repsol	3.5x	3.3x	7.1%	12.6%
Eni	5.5x	5.2x	11.0%	19.5%
OMV	3.9x	3.6x	15.6%	17.0%
Phillips 66	6.9x	7.9x	5.7%	14.4%
Darling Ingredients	10.5x	9.9x	11.3%	8.2%
VERBIO	8.1x	9.7x	4.6%	7.9%
Couche-Tard	10.5x	10.0x	5.6%	15.1%
Peer median	6.7x	6.8x	5.7%	14.4%

TARGET PRICE BRIDGE

BRIDGE COMPONENT	METRIC	MULTIPLE/PROBABILITY	IMPLIED EV	EQUITY CONTRIBUTION
Renewable road fuels	EUR 500m EBITDA	8.0x	4,000	4,000
SAF installed base	EUR 250m EBITDA	10.0x	2,500	2,500
Renewable polymers	EUR 80m EBITDA	8.0x	640	640
Uncommissioned options	Three EBITDA legs	20%/35%/15%	2,650	2,650
Conventional refining	EUR 900m EBITDA	5.0x	4,500	4,500
Marketing and retail	EUR 300m EBITDA	8.0x	2,400	2,400
Corporate and other	EUR -62m EBIT	8.0x	-496	-496
Enterprise value	Parts sum	100%	16,194	16,194
Net debt	Locked bridge	EUR 841m	-841	-841
Equity value / target	1m locked shares	EUR/share	15,353	15,353

SENSITIVITY — IMPLIED SHARE PRICE

UNCOMMISSIONED RENEWABLE CAPACITY AND PATHWAY OPTIONS SUCCESS PROBABILITY	6.3X	7.7X	9.0X	10.4X	11.7X
35%	12928.2	13132.3	13321.7	13525.7	13715.1
52.5%	13387.3	13693.3	13977.4	14283.5	14567.6
70% (bridge case)	13846.3	14254.3	14633.2	15041.2	15420.1
87.5%	14305.3	14815.3	15288.9	15799.0	16272.6
100%	14633.2	15216.1	15757.3	16340.2	16881.5

VALUATION MAP

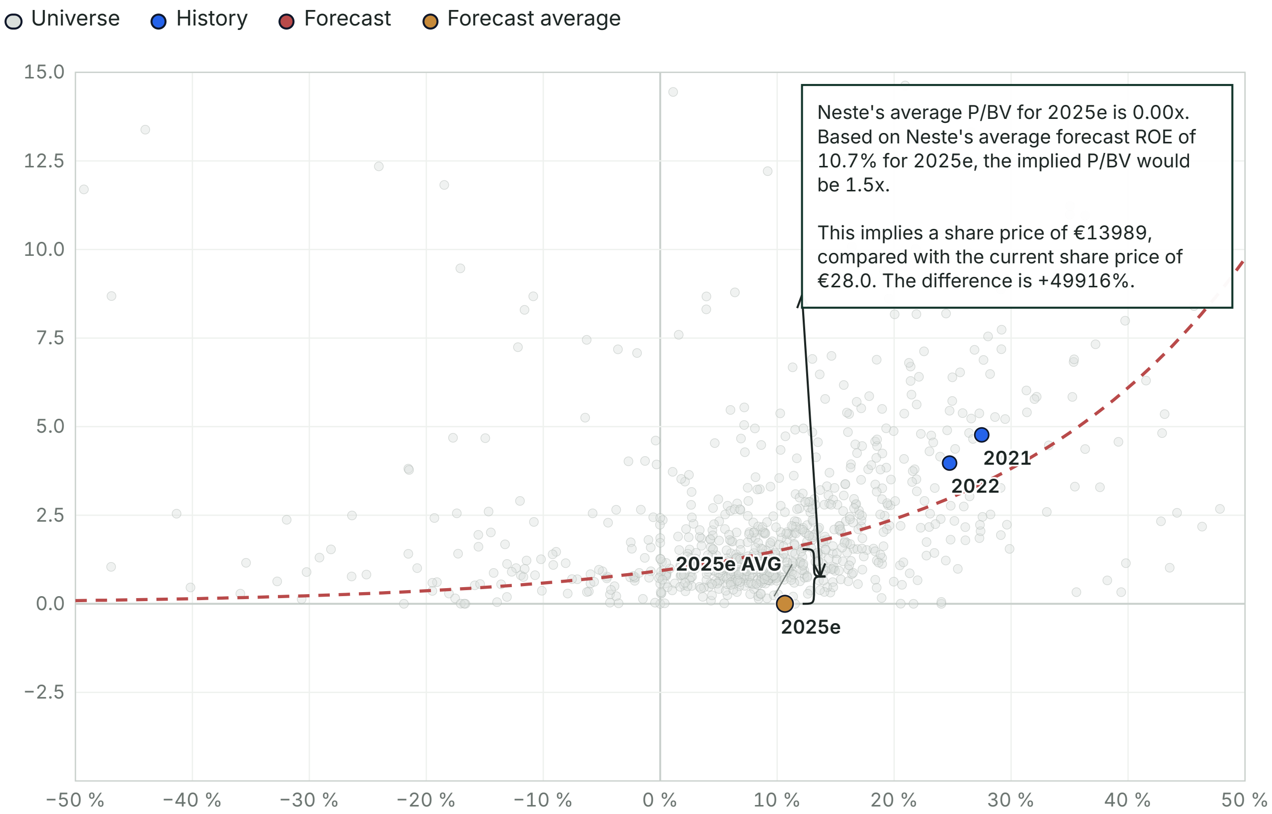
ROE vs P/BV — pricing versus profitability

18

The whole Wisdom universe as context: how the market prices profitability on average, and what the company's forecast position would imply for the share price.

ROE 2025 vs P/BV 2025

Neste in the Wisdom universe (4 632 companies)



The supplied scatter is mechanically distorted by the locked one-million-share control. 2025 ROE is 10.7%, the universe curve implies 1.5x P/BV, and supplied book value per share is EUR 9066.3, producing EUR 13989.5 per share. The indicated 49916% difference from the EUR 28 rounded quote is therefore a control-input effect, not a conventional market signal.

MULTIPLES & SENSITIVITY

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Forward multiples and EBITDA × multiple grid

How the implied valuation responds to changes in EBITDA and the applied multiple.

FORWARD MULTIPLES	2025
P/E	—
EV/EBITDA	0.4×
EV/EBIT	0.8×
P / Valuatum FOCF	—
P/BV	0.0×
Dividend Yield	—
Net Debt / EBITDA	0.4×

EBITDA × EV/EBITDA sensitivity

FY2027E GROUP EBITDA, EURM EV/EBITDA multiple →	5.5×	6.0×	6.7×	7.4×	7.9×
−20% **EUR 1,601m**	EUR 8,806m EUR 7,964.40 / sh	EUR 9,606m EUR 8,764.90 / sh	EUR 10,727m EUR 9,885.60 / sh	EUR 11,847m EUR 11,006.30 / sh	EUR 12,648m EUR 11,806.80 / sh
−10% **EUR 1,801m**	EUR 9,906m EUR 9,064.40 / sh	EUR 10,806m EUR 9,964.90 / sh	EUR 12,067m EUR 11,225.60 / sh	EUR 13,327m EUR 12,486.30 / sh	EUR 14,228m EUR 13,386.80 / sh
Base **EUR 2,001m**	EUR 11,006m EUR 10,164.40 / sh	EUR 12,006m EUR 11,164.90 / sh	EUR 13,407m EUR 12,565.60 / sh	EUR 14,807m EUR 13,966.30 / sh	EUR 15,808m EUR 14,966.80 / sh
+10% **EUR 2,202m**	EUR 12,111m EUR 11,269.90 / sh	EUR 13,212m EUR 12,370.90 / sh	EUR 14,753m EUR 13,912.30 / sh	EUR 16,295m EUR 15,453.70 / sh	EUR 17,396m EUR 16,554.70 / sh
+20% **EUR 2,402m**	EUR 13,211m EUR 12,369.90 / sh	EUR 14,412m EUR 13,570.90 / sh	EUR 16,093m EUR 15,252.30 / sh	EUR 17,775m EUR 16,933.70 / sh	EUR 18,976m EUR 18,134.70 / sh

SCENARIO VALUATION

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Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE

	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	18,500	1,200	6.5%	7.2×	8,640	7,799	EUR 7798.93	+27,783.2%
Base	20,761	1,824	8.8%	8.9×	16,234	15,393	EUR 15392.53	+54,932.3%
Bull	23,000	2,800	12.2%	9.5×	26,600	25,759	EUR 25758.93	+91,994.9%

KEY CONDITIONS

Bear removes all uncommissioned-capacity option value and assumes weak post-turnaround cash conversion. Base uses the probability-weighted bridge and authoritative 2027 operating forecast. Bull applies the best option case, higher installed-base earnings and lower net debt from stronger operating cash flow. These are operating boundary cases, not probability-weighted target-price inputs. The code-verified 12-month target of EUR 15,353.0 sits between Bear and Base: Bear EUR 7,798.9, Base EUR 15,392.5, Bull EUR 25,758.9. Its method weights appear in the Target Price Bridge.

THESIS BREAKER

The base case fails if Rotterdam is delayed, renewable margin falls below USD 600 per ton and the Porvoo outage is prolonged.

CATALYSTS

21

Monitoring checklist

Near-, medium- and long-term events that could change the recommendation.

CATALYST REGISTER

	TIMING	SEGMENT	INDICATOR	VALUATION IMPACT
Porvoo turnaround starts and remains on the nine-week plan	NEAR-TERM	Conventional refining and wholesale	Restart date, scope and cost	Protects EUR 4.5bn refinery value
Renewable utilisation reaches or exceeds 80%	NEAR-TERM	Renewable road fuels installed base	Quarterly capacity utilisation	Raises fixed-cost absorption
Comparable sales margin remains above USD 800 per ton	NEAR-TERM	Renewable road fuels installed base	Quarterly comparable margin	Supports EUR 500m EBITDA
SAF contract volumes lift sales above the Q2 run-rate	MEDIUM-TERM	Sustainable aviation fuel installed base	Quarterly SAF tons sold	De-risks EUR 2.5bn SAF value
Rotterdam mechanical completion remains scheduled for 2027	MEDIUM-TERM	Uncommissioned renewable capacity and pathway options	Official completion guidance	Raises option success probability
Rotterdam reaches specification and stable throughput	LONG-TERM	Uncommissioned renewable capacity and pathway options	Yield, utilisation and product quality	Converts option into installed value
Corporate cost falls below EUR 50 million	MEDIUM-TERM	Corporate and other activities	Annual reported EBIT loss	Adds about EUR 96m at 8x

READ-THROUGH

A medium-term re-rating requires sold SAF volume and Rotterdam milestones, not further nameplate announcements. The February 2027 financial-statements release should provide the first full-year view of performance-program delivery and balance-sheet progress.

RISKS

Risk register

22

Each risk's business division, mechanism, early-warning trigger, impact band and structural type.

RISK REGISTER

	SEGMENT	MECHANISM	EARLY WARNING	IMPACT	TYPE
Waste-feedstock inflation	Sustainable aviation fuel installed base	UCO and tallow costs absorb credit and product premiums.	UCO above USD 1200/t with falling sales margin	HIGH	STRUCTURAL
Rotterdam delay or further cost escalation	Uncommissioned renewable capacity and pathway options	Defers EBITDA, raises debt and lowers project return.	Schedule beyond 2027 or another cost reset	HIGH	THESIS BREAKER
Porvoo turnaround overrun	Marketing, retail and distribution	Lost high-margin throughput and higher replacement supply cost.	Restart slips beyond nine weeks	HIGH	MANAGEABLE
HEFA eligibility tightens	Renewable road fuels installed base	Caps addressable mandate and strands feedstock-dependent capacity.	Faster UK cap or adverse EU feedstock rules	HIGH	STRUCTURAL
Renewable utilisation remains below 70%	Sustainable aviation fuel installed base	Fixed costs and depreciation overwhelm sales margin.	Two consecutive quarters below 70%	HIGH	THESIS BREAKER
Road-fuel decline outpaces re-tail adaptation	Marketing, retail and distribution	Lower liters reduce site contribution before charging scales.	Network EBIT margin remains below 2%	MEDIUM	STRUCTURAL
Leverage and working-capital squeeze	Corporate and other activities	Inventory and capex consume liquidity and raise financing cost.	Debt/EBITDA fails to move toward 2.5x	HIGH	THESIS BREAKER

READ-THROUGH

Regulatory risk is not simply the repeal of climate policy. Changes to pathway eligibility, double-counting, crop caps, HEFA limits and traceability can shift margin among feedstocks and jurisdictions even as headline mandates rise. The early-warning system should therefore track realized margin and eligible volume, not mandate percentages alone.

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APPENDIX

Income statement

INCOME STATEMENT — EUR MILLIONS

	2022	2023	2024	2025 *E*	2026 *E*	2027 *E*
Net Sales	**25,707**	**22,926**	**20,635**	*18,488*	*19,586*	*20,761*
EBITDA	**3,048**	**2,549**	**1,007**	*2,001*	*1,658*	*1,824*
EBITDA margin	11.9%	11.1%	4.9%	*10.8%*	*8.5%*	*8.8%*
Depreciation	-638	-867	-982	*-984*	*-1,134*	*-1,179*
Operating Profit (EBIT)	**2,410**	**1,682**	**25**	*1,017*	*524*	*645*
EBIT margin	9.4%	7.3%	0.1%	*5.5%*	*2.7%*	*3.1%*
Net financial items	-131	-86	-138	*-152*	*-170*	*-180*
Pre-tax Profit	**2,279**	**1,596**	**-113**	*865*	*354*	*465*
Net Earnings	**1,893**	**1,436**	**-94**	*878*	—	*-0*
PER SHARE						
EPS	2.5	—	—	—	—	—
DPS	0.8	—	—	*0*	*0*	*0*
Payout ratio	33.3%	—	—	—	—	—

E = Valuatum estimate (not yet actualised)

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APPENDIX

Balance sheet

BALANCE SHEET — EUR MILLIONS	2022	2023	2024	2025 *E*	2026 *E*	2027 *E*
ASSETS						
Tangible assets	6,569	7,786	8,872	*7,364*	*7,802*	*8,270*
Intangibles	170	185	164	*147*	*156*	*165*
Goodwill	400	496	514	*514*	*514*	*514*
Non-current assets	**7,354**	**8,731**	**9,804**	*8,279*	*8,725*	*9,203*
Inventories	3,648	3,366	2,898	*2,638*	*2,794*	*2,962*
Receivables	2,584	2,184	1,702	*1,599*	*1,685*	*1,776*
Cash & equivalents	1,271	1,575	955	*1,001*	*1,060*	*1,124*
Current assets	**7,503**	**7,125**	**5,555**	*5,238*	*5,539*	*5,862*
Total Assets	**14,917**	**15,983**	**15,581**	*13,739*	*14,486*	*15,286*
EQUITY & LIABILITIES						
Equity	8,327	8,463	7,417	*9,066*	*9,066*	*9,066*
Long-term debt	1,539	3,487	4,362	*921*	*1,235*	*1,572*
Short-term debt	541	581	786	*921*	*1,235*	*1,572*
Long-term liabilities	**1,803**	**3,815**	**4,618**	*1,177*	*1,491*	*1,828*
Current liabilities	**3,916**	**3,388**	**3,210**	*3,161*	*3,594*	*4,057*
Total liabilities & equity	**14,917**	**15,983**	**15,581**	*13,739*	*14,486*	*15,286*
CAPITAL STRUCTURE & RATIOS						
Net debt	1,344	2,493	4,193	*841*	*1,410*	*2,020*
Capital invested	9,136	10,956	11,610	*9,907*	*10,477*	*11,086*
Equity ratio	55.8%	53.0%	47.6%	*66.0%*	*62.6%*	*59.3%*
Gearing	16.1%	29.5%	56.5%	*9.3%*	*15.6%*	*22.3%*
Net debt / EBITDA	0.4×	1.0×	4.2×	*0.4×*	*0.9×*	*1.1×*
Current ratio	1.9	2.1	1.7	*1.7*	*1.5*	*1.4*

E = Valuatum estimate (not yet actualised)

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APPENDIX

Cash flow

CASH FLOW — EUR MILLIONS	2022	2023	2024	2025 *E*	2026 *E*	2027 *E*
OPERATIONS						
Cash from operations (model)	1,540	2,417	1,454	*2,041*	*1,011*	*1,047*
Operating cash flow (Valuatum calculation)	1,660	2,407	1,493	*2,196*	*1,137*	*1,180*
Change in working capital	991	-114	-567	*-179*	*123*	*132*
INVESTING & FREE CASH						
Gross capex	2,144	2,244	2,055	*-541*	*1,580*	*1,656*
Capex (ex. M&A)	-2,144	-2,244	-2,055	*541*	*-1,580*	*-1,656*
Cash after capex (CFO - gross capex)	**-604**	**173**	**-601**	***1,501***	***-569***	***-609***
Free operating cash flow (Valuatum def.)	**-509**	**227**	**-634**	***2,736***	***-444***	***-476***
Free cash flow to firm	**-507**	**227**	**-634**	***2,736***	***-444***	***-476***
FINANCING						
CF from financing	282	217	56	*-2,535*	*629*	*673*
Dividends paid	-614	-630	—	—	—	—
Net change in cash	**-322**	**390**	**-545**	***47***	***59***	***64***

E = Valuatum estimate (not yet actualised)

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APPENDIX

Quarterly snapshot

HISTORICAL QUARTERS — LAST TWO COMPLETED YEARS, EUR MILLIONS

	Q1/23	Q2/23	Q3/23	Q4/23	Q1/24	Q2/24	Q3/24	Q4/24
Net Sales	5,298	5,351	5,973	6,303	4,801	4,642	5,624	5,569
EBITDA	463	524	889	678	455	123	301	145
EBITDA margin	8.7%	9.8%	14.9%	10.8%	9.5%	2.6%	5.4%	2.6%
Comparable EBIT	285	312	669	421	213	-115	54	-110
EBIT margin	5.4%	5.8%	11.2%	6.7%	4.4%	-2.5%	1.0%	-2.0%
Net Earnings	240	262	539	404	162	-141	22	-135
EPS	—	—	—	—	—	—	—	—

CURRENT YEAR — QUARTERLY, EUR MILLIONS

	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	5,017	4,511	4,534	4,989
EBITDA	465	126	291	156
EBITDA margin	9.3%	2.8%	6.4%	3.1%
Comparable EBIT	223	-112	44	-99
EBIT margin	4.4%	-2.5%	1.0%	-2.0%
Net Earnings	171	-140	13	-128
EPS	—	—	—	—

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SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER

	VALUE	CATEGORY	USED IN
Financial statements and forecast model	Valuatum Wisdom model 10377, snapshot period 2025	FINANCIAL SNAPSHOT	Financials, forecasts & valuation
Share-price history and market profile	Financial Modeling Prep, NESTE.HE financialmodelingprep.com	MARKET DATA	Price chart & market facts
Neste Annual Report 2025 - Financial Statements	www.neste.com/.../7lkF1hEsx6PQ867KHKYyVs-Neste_Annual_R...	OFFICIAL SOURCE	Reported segment table
Neste announced its financial reporting schedule for 2027,...	www.neste.com/.../neste-financial-reporting-2027	OFFICIAL SOURCE	Neste Corporation
Neste reported record-high quarterly comparable EBITDA for...	www.neste.com/.../half-year-report-january-june-2026	OFFICIAL SOURCE	Neste Corporation
Neste announced a planned nine-week maintenance turnaround...	www.neste.com	OFFICIAL SOURCE	Neste Corporation
Neste announced the final results for its tender offers reg...	www.neste.com/.../stock-exchange-releases	OFFICIAL SOURCE	Neste Corporation
Neste implemented a new organizational structure and leader...	www.neste.com	OFFICIAL SOURCE	Neste Corporation

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